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have seen, it would not be completely wrong to say that in some cases there is collusion between promoters, their friends, and high net worth individuals, especially when many of these shares do not see huge trading traction. “In terms of trading... many companies are very thinly traded and the shares are also not widely held, so the possibility of manipulation is far higher,” says Pranav Haldea, MD of Prime Database, a primary markets tracker.

People familiar with the developments say the regulator is aware of the alleged modus operandi and is deliberating on ways to address the growing concerns.

## HOW IT WORKS

“Sebi is aware of the illegal practices and is looking into the whole modus operandi and has already reached out to certain registered market intermediaries, including merchant bankers,” says a person privy to the developments.

One of the aspects that Sebi is looking at is the mecha-

nism of pre-IPO allocations and the kind of “unfair practices being used in the process to facilitate the entry of operators in the company before the public issue”, says a person who wished not to be identified as the discussions are not public yet. “It is a very fine line that Sebi has to tread since there are genuine transactions as well and those should not get affected.” An email query sent to Sebi remained unanswered till the time of going to press.

People familiar with the dealings in the SME segment say that in the recent past, many of these so-called “operators” have entered the space guaranteeing the success of an SME IPO. They do so in connivance with promoters, along with friendly brokers, bankers and investors. Per these sources, this is how it works: The operators keep an eye out for SME promoters who are looking to list their companies. Once they zero in on a target, they approach company officials with a plan to make the SME’s capital markets foray a success—both in terms of getting the IPO highly oversubscribed, as well as huge listing gains.

In return, they ask for shares of the company that they, in turn, can allot in “friendly circles”. The operators then approach a Sebi-registered merchant banker that does all the required paperwork, though the control of the issue remains with the operator. As and when the IPO is launched, the operator and their network ensures huge oversubscription, and, post-listing, the syndicate sees to it that volumes are artificially propped up, giving the public a false perception of genuine demand that, in turn, pushes up the share price. Once the desired target price is achieved, the syndicate slowly starts exiting the SME, even as gullible investors get trapped as there is hardly any genuine demand for the shares that continue to move only in a narrow range once the entire operation is over.

While Sebi is deliberating on ways to address these concerns and protect investors’ interests, action has already begun with exchanges recently introducing Additional Surveillance Measures (ASM) in the SME segment—ASM includes actions like increasing the margin required to trade along with changes in price band, among other things. “Recent success stories on SME platforms have renewed investor interest and finding listing gains of over 100 per cent has become a new norm,” says Arun Kejriwal, a market veteran and Founder of Kejriwal Research & Investment Services. This has as usual brought about some unwanted practices on the exchanges as well, Kejriwal says, adding that it is heartening to note that Sebi has decided to step in and ask exchanges “to look into some issues and also introduce the ASM mechanism”.

The scrutiny is important because the segment has lately started attracting a lot of retail investors, even though the minimum trade size has been pegged at ₹1 lakh—the limit was set more than a decade ago to dissuade retail investors from the segment as it was consid-